6.5.3 Quasi-Rent



Marshall introduced the concept of Quasi rent. Factors other than land say plant and machinery are fixed in supply during short period. They earn surplus income when demand rises. It is purely temporary as it disappears in long run due to increase in supply. The quasi-rent is a surplus that a producer receives in the short period over variable costs from the sale of output.

Distinction between "Rent" and "Quasi-Rent"

Sl. No.	*Rent*	*Quasi-Rent*
1.	Rent accrues to land	Quasi-Rent accrues to manmade appliances.
2.	The supply of land is fixed forever.	The supply of manmade appliances is fixed for a short period only.
3.	It enters into price	It does not enter into price.

QR= Total Revenue – Total Variable Cost

"Quasi-Rent is the income derived from machines and other appliances made by man".

-Alfred Marshall

6.5.4 The Modern Theory of Rent / Demand & Supply Theory of Rent

The classical economists' thought that land as a factor of production was different from other factors of production. But modern economists thought that all the factors of production are alike and there is no basic difference between them. Hence, a special theory for rent, developed by Ricardo is not necessary. Therefore, economists like Mrs.Joan Robinson and E.Boulding have contributed their ideas for the determination of rent, which is known as the "Modern Theory of Rent".

"The essence of the conception of rent is the conception of surplus earned by a particular part of a factor of production over and above the minimum earnings that is necessary to induce it to do work"

- Mrs.Joan Robinson

Rent is the difference between the actual earnings of a factor of production and its transfer earning.

Rent = Actual earning – Transfer earning.

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